

Wage and price rigidity



Wage rates often respond sluggishly to changing economic conditions, and in particular can be slow to adjust downward.

Keynesian economics is based on the idea that wages and prices are 'sticky'. For example, when demand for labour falls, wages rates don't always adjust downwards. Even more, during recessions price levels fall so real wages actually increase. This reduces demand for labour from firms, causing unemployment. The 'New Keynesian' economists have tried to explain these wage and price rigidities. One reason is that changing prices has costs – the printing of new price lists and so on. Another explanation is that prices and wages are adjusted at fixed time intervals and these adjustments are not synchronized across firms. Consider that at the time a firm is reconsidering its prices, market conditions already point to an increase – but because their competitors will not be adjusting their prices until later, the

firm holds off from doing this to stay competitive. The result is that price adjustment is sluggish. The message is that even when firms and individuals behave rationally, markets don't necessarily adjust smoothly, and so recessions and unemployment can emerge.